SMOKY MOUNTAIN CPAS · FREE RESOURCE

The Pay Yourself First Starter Kit

A four account system that makes sure the owner gets paid. From the two CPAs at Smoky Mountain CPAs.

Most business owners run everything out of one checking account. Money comes in, bills come out, and whatever is left at the end of the month is what you get. The problem is that there is never anything left. Money sitting in one big pile gets spent. Every time.

Profit First flips the order. Instead of Sales minus Expenses equals Profit, you take your profit, your tax money, and your own pay off the top first, and the business learns to run on what remains. Sales minus Profit equals Expenses. It sounds like a gimmick until you watch it work. We use this system in our own firm and we set it up for clients. This kit gives you the whole starter version in four accounts and about 15 minutes twice a month.

The four accounts

You only need your existing checking account plus three new ones, all at the bank you already use.

1. Operating Expenses (your current checking account). Deposits keep landing here, and every bill, subscription, and auto-draft keeps paying from here. Nothing about how money enters or exits your business changes. The only new behavior is that twice a month, money leaves this account before you can spend it.

2. Profit. A savings account. This is the reward for owning the business, separate from your paycheck. It builds quietly, and once a quarter you take half of it out as a distribution. If you carry business debt, most of that quarterly distribution goes to paying it down until the debt is gone.

3. Tax. A savings account for income tax on your business profit. When your tax preparer tells you what you owe, the money is already sitting there. April stops being scary. To be clear, we do not file taxes.

We make sure the money and the clean books are ready for whoever does.

4. Owner's Pay. The account your personal paycheck comes from. Same amount, twice a month, like a salary. Not random draws when the balance looks healthy.

Starting percentages by revenue band

These are the standard Profit First target allocations, based on real revenue, which means revenue minus materials and product costs that pass straight through your hands. Treat them as starting points to grow toward, not prescriptions. Every business we set up starts lower than its target and steps up over time.

Real revenue per year	Profit	Owner's Pay	Tax	Operating Expenses
Up to $250,000	5%	50%	15%	30%
$250,000 to $500,000	10%	35%	15%	40%
$500,000 to $1,000,000	15%	20%	15%	50%
$1,000,000 to $5,000,000	10%	10%	15%	65%

> **If those numbers look impossible right now, that is normal.** Start with 1 percent to Profit, 1 percent to Tax, and a modest fixed amount to Owner's Pay, then raise your percentages a point or two every quarter. A business doing $10,000 a month can start this system by moving $100 to Profit and $100 to Tax. The habit matters more than the amount in month one. Quarterly is the rhythm for raises, not monthly. Rushing the ramp is the most common way owners break the system.

The twice-monthly rhythm

On the 10th and the 25th of every month:

1. Look at what landed in Operating Expenses since the last transfer day.
2. Multiply by your current percentages.
3. Move the Profit, Tax, and Owner's Pay amounts to their accounts.
4. Pay yourself from Owner's Pay.
5. Run the business on what is left in Operating Expenses.

That is the whole system. About 15 minutes, twice a month.

Three rules that keep it alive:

- **Treat $500 as zero in every account.** A floor stops overdrafts and panic while you adjust. If an account touches $500, that is your early warning, weeks before a real crisis.
- **No debit card on Profit or Tax.** If those accounts are hard to spend from, they will actually grow. Ask the bank to skip the cards.
- **Every auto-draft points at Operating Expenses.** Go through your subscriptions and loan payments and make sure nothing drafts from the other three accounts. This one step prevents most of the mess.

One page setup checklist for your bank visit

Print this page. One trip or one online session covers it.

- [ ] Open three new accounts: Profit (savings), Tax (savings), Owner's Pay (checking).
- [ ] Nickname each account in online banking so the purpose is obvious at a glance.
- [ ] Ask about minimum balance fees on small savings accounts, and ask for them waived. Many banks will.
- [ ] Decline debit cards on Profit and Tax.
- [ ] Confirm you can make free instant transfers between all four accounts.
- [ ] Check every auto-draft and subscription points at Operating Expenses.
- [ ] Put $500 in each new account as its floor. Treat that as zero.
- [ ] Put transfer days on your calendar: the 10th and the 25th, repeating.
- [ ] Write your starting percentages somewhere you will see them: Profit ___% Tax ___% Owner's Pay ___%
- [ ] Set a quarterly reminder to review and raise your percentages.

You now have the system. The next question is whether your books can feed it.

Percentages only work when the numbers underneath them are true. If your bookkeeping is behind, or Shopify payouts are hitting the books as pure income, or you honestly are not sure what your real revenue is, that is the place to start.

We are Brooks and Caroline, the two CPAs behind Smoky Mountain CPAs in Knoxville. We keep books clean and tax-ready for ecommerce sellers, boutiques, and contractors, and Brooks is a Certified Profit First Professional. We do not file taxes. We make sure whoever does has an easy job, and that you know your numbers all year.

Want a CPA to look at your setup? Book a free 30 minute call and we will talk through your accounts and percentages: **smokymtncpas.com/book/**

Want the full picture first? The $497 Diagnostic Review puts two CPAs inside your actual QuickBooks. You get the truth about your books in writing and on video, including what your safe pay-yourself number looks like.

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